

FEDERAL MARITIME COMMISSION

IAN MILLS,

Claimant,

v.

CROWLEY LOGISTICS, INC.

Respondent.

INFORMAL DOCKET NO. 1995(I)
FORMAL DOCKET NO. 1995(F)

**RESPONDENT CROWLEY LOGISTICS, INC.’S
MEMORANDUM IN SUPPORT OF ITS ANSWER
AND MOTION TO DISMISS COMPLAINT**

Respondent Crowley Logistics, Inc. (“Crowley”) hereby files this memorandum in support of its response and answer to Claimant’s Complaint and further moves to dismiss Claimant’s Complaint for the reasons that follow.

Introduction

Claimant Ian Mills filed this action against Crowley, alleging that Crowley violated the Shipping Act of 1984, particularly 46 U.S.C. § 41102 and 41104, on the basis that Crowley purportedly lost and failed to transport a clip-on generator. These claims lack merit for the following reasons:

- First, Claimant fails to state a Shipping Act claim because Section 41102(c) requires that the challenged acts or omissions “are occurring on a normal, customary, and continuous basis.” Here, Claimant alleges a single act or omission—losing and failing to ship one generator. This isolated allegation is not occurring on a “continuous basis.”
- Second, Claimant fails to state a Shipping Act claim under Section 41104(a)(4) because Claimant alleges that Crowley failed to ship the generator. Thus, Claimant cannot allege

that Crowley loaded or landed the generator and Claimant cannot allege that Crowley provided any “service pursuant to a tariff” for the generator.

- Third, Claimant also fails to state a Shipping Act claim under Section 41104(a)(4) because Claimant cannot allege that Crowley treated Claimant any different than any other customer, thus Claimant cannot allege an unfair or unjustly discriminatory practice.

- Fourth, there are only two possible factual scenarios—neither of which can support an actionable claim. For scenario one, Claimant alleges the parties intended for Crowley to transport the generator and merely omitted the generator from the Bill of Lading by accident. In this scenario, dismissal is appropriate because the Bill of Lading applies and the Bill of Lading’s terms and conditions contain a notice period, a statute of limitations, a forum selection clause (none of which Claimant complied with), and a \$500 limitation of liability. For scenario two, Claimant alleges that the Bill of Lading does not apply to the generator because the generator was not listed in the Bill of Lading. In this scenario, Crowley has no obligations related to the generator because there is no agreement to ship the generator. Accordingly, there is no viable claim under any theory.

Statement of Facts

1. On September 13, 2021, Claimant reached out to Crowley regarding transporting a reefer container from the United States to Barbados, which would be filled with dry goods. On September 17, 2021, Claimant provided a price quote to Claimant for shipping the reefer container. *See* Affidavit of Steven Ficon (“Ficon Aff.”) ¶ 4; Exhibit 1.¹

2. Claimant and Crowley subsequently entered into a Bill of Lading in connection with the services that Crowley would provide for Claimant. *See* Ficon Aff. ¶ 5; Exhibit 2.

3. The Bill of Lading lists the 40-foot container and the 98 dry goods loaded therein,

¹ All references to exhibits are to the exhibits attached to the Affidavit of Steven Ficon.

but it does not list a generator. *See* Exhibit 2.

4. Applicable to this Bill of Lading were terms and conditions listed on the back of the Bill of Lading and in Crowley's applicable tariff (which is available on Crowley's website), all of which Claimant accepted. *See* Ficon Aff. ¶ 7; Exhibit 2 at 1 ("[T]he GOODS mentioned above to be transported as provided herein, by any mode of transport for all or any part of the Carriage, SUBJECT TO ALL THE TERMS AND CONDITIONS appearing on the face and back hereof and in the CARRIER'S applicable Tariff, to which the Merchant agrees by accepting this Bill of Lading."); *Rule Index Crowley Logistics Organization Number 015721 Tariff 003*, Crowley, <https://www.crowley.com/logistics/resources/rates-tariffs/tariff-003/>; Exhibit 3 (Crowley's bill of lading terms and conditions applicable to this tariff, which can be found using the preceding link and are specifically available at https://www.crowley.com/wp-content/uploads/tariff-rates/tariff-003/Bill_of_Lading_-_Original.pdf).

5. Section 4(B) of the Bill of Lading terms and conditions for this tariff states:

Where the Hague Rules or any legislation making such Rules compulsorily applicable (such as COGSA or COGWA) to this Bill of Lading apply, the Carrier shall not, unless a declared value has been noted in accordance with (C) below, be or become liable for any loss or damage to or in connection with the Goods in an amount per package or shipping unit in excess of the package or shipping unit limitation as laid down by such Rules or legislation. Such limitation amount according to COGSA is US\$500 and according to COGWA is Can\$500. If no limitation amount is applicable under such Rules or legislation, the limitation shall be US\$500.

Exhibit 3, § 4(B).

6. Section 20 of the terms and conditions attached to the Bill of Lading similarly provides, in relevant part:

20. LIMITATION OF LIABILITY. Except as otherwise provided in this Clause or elsewhere in this Bill of Lading, in case of any loss or damage to or in connection with cargo exceeding in actual value the equivalent of \$500 lawful money of the United States, per package, or in case of cargo not shipped in

packages, per shipping unit, the value of the cargo shall be deemed to be \$500 per package or per shipping unit. The Carrier's liability, if any, shall be determined on the basis of a value of \$500 per package or per shipping unit or pro rata in case of partial loss or damage, unless the nature of the cargo and valuation higher than \$500 per package or per shipping unit shall have been declared by the Merchant before shipment and inserted in this Bill of Lading, and extra freight paid if required....

Exhibit 2, § 20.

7. Sections 4(F) and 4(G) of the Bill of Lading terms and conditions for this tariff state:

(F) Notice of Loss or Damage

The Carrier shall be deemed prima facie to have delivered the Goods as described in this Bill of Lading unless loss or damage, shall have been given in writing to the Carrier or to his representative at the place of delivery before or at the time of removal of the Goods into the custody of the person entitled to delivery thereof under this Bill of Lading or, if the loss or damage is not apparent, within three consecutive days thereafter.

(G) Time-bar

The Carrier shall be discharged of all liability unless suit is brought in the proper forum and written notice thereof received by the Carrier within nine months after delivery of the Goods or the date when the Goods should have been delivered. In the event that such time period shall be found contrary to any convention or law compulsorily applicable. The period prescribed by such convention or law shall then apply but in that circumstance only.

Exhibit 3, §§ 4(F)-(G).

8. Section 21 of the terms and conditions attached to the Bill of Lading similarly provides, in relevant part:

21. NOTICE OF CLAIM: TIME FOR SUIT. As to any loss or damage presumed to have occurred during the Carrier's period of responsibility, the Carrier must be notified in writing of any such loss or damage or claim before or at the time of discharge/removal of the Goods by the Merchant or, if the loss or damage is not then apparent, within 3 consecutive days after discharge/delivery or the date when the Goods should have been discharged/delivered. If not so notified, discharge, removal or delivery, depending upon the law applicable, shall be prima facie evidence of discharge/delivery in good order by the Carrier of such Goods.

In any event, the Carrier shall be discharged from all liability of whatsoever

nature unless suit is brought within 1 year after delivery of the Goods or the date when the Goods should have been delivered, provided however, that if any claim should arise during a part of the transport which is subject by applicable law and/or tariff and/or contract to a shorter period for notice of claim or commencement of suit, any liability whatsoever of the Carrier shall cease unless proper claim is made in writing and suit is brought within such shorter period....

Exhibit 2, § 21.

9. Furthermore, Section 21 of the Bill of Lading terms and conditions for this tariff requires: “The contract evidenced by or contained in this Bill of Lading is governed by the Law of the United States of America and any claim or dispute hereunder shall be determined by the U.S. District Court for the Southern District of Florida.” Exhibit 3, § 21.

10. The Claimant sent the 98 dry goods to Crowley’s warehouse to be loaded into the container. Ficon Aff. ¶ 8; Claimant Compl. at 2, ¶ D.

11. Crowley arranged to collect the container from Claimant’s supplier. Ficon Aff. ¶ 9.

12. Crowley transported the container and 98 dry goods to Bridgetown, Barbados, and Claimant received these items no later than December 8, 2021. Ficon Aff. ¶ 10; Claimant Compl. at 2-3, ¶¶ F-G.

13. On December 14, 2021, Claimant informed Crowley that he had not received a clip-on generator that he alleged had been attached to the container. Ficon Aff. ¶ 11; Exhibit 4 (email from Claimant to Crowley dated Dec. 14, 2021).

14. Crowley investigated the issue but could not locate this clip-on generator and could not determine whether it had received this clip-on generator. Ficon Aff. ¶ 12.

15. Claimant filed a claim with Crowley’s cargo claims department, which Crowley duly processed and investigated. Following its investigation, Crowley determined that it was not liable under the Bill of Lading, but nonetheless in good faith offered to pay Claimant \$500 in full settlement (which is the highest limit of Crowley’s liability under the Bill of Lading). Ficon Aff.

¶ 13; Exhibit 5 (Crowley’s correspondence with Claimant).

16. Claimant never accepted Crowley’s offer. Ficon Aff. ¶ 14.

17. Claimant filed this action on June 6, 2023—nearly 18 months after Crowley had transported the container and dry goods to Claimant. *See* Claimant Compl. at 1.

Burden of Proof

“To prevail in a proceeding to enforce the Shipping Act, a complainant bears the burden of proving their allegations by a preponderance of the evidence.” *Nnabugwu Chinedu Andrew, et al. v. Marine Transport Logistics, Inc. et al.*, Docket No. 20-12, Initial Decision at 9 (FMC Jan. 24, 2022). Under this standard, the Claimant must show that his allegations are more probable than not, and “findings may not be drawn from mere speculation.” *Id.*

Legal Argument

I. Claimant cannot state a claim under the Shipping Act

Claimant alleges that Crowley violated two provisions of the Shipping Act: 46 U.S.C. § 41102(c) and 46 U.S.C. § 41104(a)(4). However, Claimant fails to state a claim under either of these provisions.

First, Section 41102(c) provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” Claimant’s allegation is that, by purportedly losing and not shipping the generator, Crowley violated this provision. However, the Commission’s regulations provide that “46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations: ... The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis.” 46 C.F.R. § 545.4. A single act does not meet this required

standard. As the U.S. Court of Appeals for the D.C. Circuit has explained: “Since 2010, the Commission had interpreted Section 41102(c) to create liability for a party that committed even a single unjust and unreasonable act, including a single fee charged. With the new rule—codified at 46 C.F.R. § 545.4—the Commission restore[d] the Commission’s interpretation of [Section] 41102(c) to its pre-2010 understanding[,] which is that a party is liable only for acts or omissions * * * occurring on a normal, customary, and continuous basis[,] 46 C.F.R. § 545.4(b).” *Crocus Investments, LLC v. Fed. Maritime Comm’n*, 2022 WL 3012275, at *1 (D.C. Cir. July 29, 2022) (alterations in original) (internal quotation marks and citations omitted). For example, in *Crocus*, the D.C. Circuit affirmed the Commission’s determination that there was no violation of Section 41102(c) because the Court agreed that previous cases brought against the defendant related to different types of conduct, and “Commission precedent is clear that one prior violation falls short of the requirement that [Defendant’s] challenged conduct be normal, customary, and continuous.” *Id.* at *5 (internal quotation marks omitted); *see also Nnabugwu Chinedu Andrew, et al. v. Marine Transport Logistics, Inc. et al.*, Docket No. 20-12, Initial Decision (FMC Jan. 24, 2022) (finding that the complainant did not establish a violation of the Shipping Act, including because three previous shipment charges being found unreasonable did not establish that the respondent’s practices occurred on a normal, customary, and continuous basis). Likewise, here Claimant’s Complaint necessarily fails because it relies on a single act—Crowley allegedly losing the generator—not multiple acts or omissions occurring on a normal, customary, and continuous basis. Thus, on their face, Claimant’s allegations fail to meet the required elements (as set forth in 46 C.F.R. § 545.4).

Second, Section 41104(a)(4) provides: “A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not— ... (4) for service pursuant to a tariff,

engage in any unfair or unjustly discriminatory practice in the matter of— ... (D) loading and landing of freight” Here, however, Claimant alleges that Crowley did not load or land the freight—according to Claimant, Crowley lost the generator. *See* Claimant Compl. at 1, 4. Additionally, if the generator was never shipped as Claimant alleges (*see id.*), then Crowley also did not engage in any “service pursuant to a tariff” related to the generator. And this is not to mention that simply losing a generator (as alleged by Claimant) is not “unfair or unjustly discriminatory”—there is no allegation that Crowley treated Claimant any different than any other customer. Thus, there was no violation of Section 41104(a)(4) and there can be no such violation.

II. The Bill of Lading requires dismissal

Crowley’s services for Claimant are subject to and governed by the Bill of Lading. *See* Exhibit 2; Ficon Aff. ¶ 5. Claimant argues that, because the clip-on generator was not listed on the Bill of Lading, the Bill of Lading does not apply. *See* Claimant Compl. at 3, ¶ I. Claimant is wrong. As Claimant acknowledges, Claimant and Crowley entered into the Bill of Lading with the intent of it setting forth the agreement between the parties. *See, e.g.,* Claimant Compl. at 1 (“The Parties then entered into a Bill of Laden [sic] for the Respondent to transport all the items to the Claimant in Barbados, but accidentally omitted to include the clip on generator”); *id.* at 2, ¶ F (similarly alleging that “the parties agreed the Bill of Lading” on November 24, 2021 and “accidentally omitted” the clip-on generator).

If, as Claimant alleges, the parties intended for the clip-on generator to be transported by Crowley, then “accidentally omitt[ing]” it from the Bill of Lading does not obviate the terms and conditions to which Claimant and Crowley agreed and intended would govern their relationship and Crowley’s services (which, as alleged, would include transportation of a clip-on generator). On the other hand, if the Bill of Lading does not apply to the clip-on generator because the

generator was not listed in the Bill of Lading, then Claimant has no grounds to bring this Complaint whatsoever. Without the Bill of Lading, Crowley had no obligations to Claimant. And as explained above, the Shipping Act provisions on which Claimant relies do not apply and were not violated.

Either way, Claimant's Complaint should be dismissed. If the Bill of Lading does not apply, then Crowley owed no obligations to Claimant with respect to the alleged generator, and thus Claimant's Complaint necessarily fails. If the Bill of Lading does apply (*i.e.*, if, as Claimant alleges, the parties intended for Crowley to transport the generator and just "accidentally omitted" it from the Bill of Lading), then Claimant's Complaint must be dismissed because it is barred by at least three separate provisions of the Bill of Lading's terms and conditions.

A. Claimant is in violation of the forum selection clause

First, Claimant expressly agreed to the exclusive jurisdiction of the U.S. District Court for the Southern District of Florida for any suits against Crowley. Section 21 of the Bill of Lading terms and conditions for this tariff (which the Bill of Lading expressly incorporates) requires: "The contract evidenced by or contained in this Bill of Lading is governed by the Law of the United States of America and any claim or dispute hereunder shall be determined by the U.S. District Court for the Southern District of Florida." Exhibit 3, § 21; *see also* Exhibit 2 at 1 (stating that Claimant agreed to the terms and conditions in Crowley's applicable tariff). Accordingly, Claimant's Complaint should be dismissed because, under the parties' agreement, the Federal Maritime Commission is not an appropriate forum to hear this dispute.

B. Claimant missed the deadlines for notice and statute of limitations

Second, Claimant failed to comply with two conditions precedent to suit under the Bill of Lading: (1) notice; and (2) statute of limitations.

Section 4(F) of the Bill of Lading terms and conditions for the applicable tariff, and Section

21 of the terms and conditions attached to the Bill of Lading, both provide that it shall be deemed prima facie evidence that Crowley delivered and discharged the goods in good order unless Claimant notifies Crowley in writing of a loss or damage claim at the time of removal of the goods by Claimant, or if the loss or damage is not apparent, then within three consecutive days thereafter. *See* Exhibit 3, § 4(F); Exhibit 2, § 21.

Additionally, Section 4(G) of the terms and conditions for the applicable tariff provides that Crowley “shall be discharged of all liability unless suit is brought in the proper forum and written notice thereof received by [Crowley] within nine months after delivery of the Goods or the date when the Goods should have been delivered.” Exhibit 3, § 4(G). Similarly, Section 21 of the terms and conditions attached to the Bill of Lading provides that Crowley “shall be discharged from all liability of whatsoever nature unless suit is brought within 1 year after delivery of the Goods or the date when the Goods should have been delivered.” Exhibit 2, § 21.

Here, Claimant’s goods and container were delivered no later than December 8, 2021. *See* Ficon Aff. ¶ 10; Claimant’s Complaint at 3, ¶ G (acknowledging that Claimant’s container arrived at its destination on December 8, 2021). Claimant was required to notify Crowley of any alleged loss or damage at that time. Even if the issue with the generator could be considered “not apparent,” then Claimant was required to notify Crowley within three days. However, Claimant did not notify Crowley regarding the alleged issue with the generator until December 14, 2021—six days later. Ficon Aff. ¶ 11; Exhibit 4 (email from Claimant to Crowley dated Dec. 14, 2021). Accordingly, Claimant failed to notify Crowley within the required notice period and this is prima facie evidence that Crowley delivered the goods in good order.

Moreover, under the terms and conditions of the applicable tariff, Claimant was required to file suit within nine months of delivery—*i.e.*, by September 8, 2022. Crowley contends that, in

the event of any conflict, these terms and conditions applied because they are the applicable terms and conditions on file with the Commission. However, even under the more permissive time period set forth in the terms and conditions attached to the Bill of Lading, Claimant was required to file suit within one year of delivery—*i.e.*, by December 8, 2022. Claimant did not file this action until June 6, 2023, though, many months after both of these deadlines. Therefore, pursuant to both Section 4(G) and Section 21, Crowley is discharged from all liability, and Claimant’s Complaint should be dismissed.

C. Claimant’s recovery is limited to \$500 by the Bill of Lading and statute

Third, Claimant agreed to limit Crowley’s liability to \$500. Exhibit 2, § 20 (“The Carrier’s liability, if any, shall be determined on the basis of a value of \$500 per package or per shipping unit or pro rata in case of partial loss or damage, unless the nature of the cargo and valuation higher than \$500 per package or per shipping unit shall have been declared by the Merchant before shipment and inserted in this Bill of Lading, and extra freight paid if required....”); Exhibit 3, § 4(B) (“[T]he Carrier shall not, unless a declared value has been noted in accordance with (C) below, be or become liable for any loss or damage to or in connection with the Goods in an amount per package or shipping unit in excess of the package or shipping unit limitation as laid down by such Rules or legislation. Such limitation amount according to COGSA is US\$500 and according to COGWA is Can\$500. If no limitation amount is applicable under such Rules or legislation, the limitation shall be US\$500.”). The Carriage of Goods by Sea Act likewise limits Crowley’s liability to \$500: “Neither the carrier nor the ship shall in any event be or become liable for any loss or damage to or in connection with the transportation of goods in an amount exceeding \$500 per package lawful money of the United States, or in case of goods not shipped in packages, per customary freight unit, or the equivalent of that sum in other currency, unless the nature and value

of such goods have been declared by the shipper before shipment and inserted in the bill of lading.” 46 U.S.C. § 1304(5). Here, no valuation higher than \$500 was declared and inserted into the Bill of Lading—indeed, the generator was not listed in the Bill of Lading. And Claimant also did not acquire any cargo insurance policy. Accordingly, under both the Bill of Lading’s terms and conditions and the Carriage of Goods by Sea Act, Crowley’s liability cannot exceed \$500.

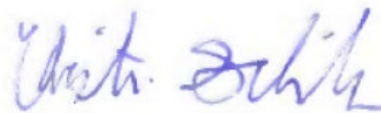
III. Crowley seeks its reasonable attorneys’ fees

Pursuant to 46 C.F.R. §§ 502.318(b), 502.321, and 502.254, the prevailing party in this action may recover its reasonable attorney fees. For the reasons explained above, Crowley requests dismissal of the Complaint and a fee award. Crowley intends to file a petition to recover its reasonable attorneys’ fees under the authority and procedures set forth in 46 C.F.R. § 502.254.

Dated: July 3, 2023

Respectfully submitted,

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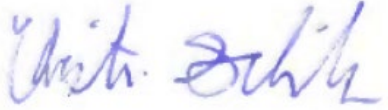
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Certificate of Service

I hereby certify that I have this day served the foregoing document upon all parties of record in this proceeding by e-mailing a copy to each such person in sufficient time to reach such person on the date the document is due to be filed with the Commission.

Dated at Tysons, Virginia this 3rd day of July, 2023.



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